Cambridge (CIE) A Level Business

Your notes

Enterprise

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- The Nature of Business Activity
- The Dynamic Business Environment
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- Entrepreneurship and Intrapreneurship
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The purpose of business activity

- The purpose of business activity can be broadly defined as the organisation of human, physical and financial resources to **produce goods or services** that **meet customer needs** while **adding value**

The purpose of business activity

Purpose	Explanation
Produce goods or services	▪ The primary purpose of business activity is to **produce goods or services** that satisfy a need or demand in the market ▪ **Goods** are tangible physical items capable of being stored, such as cars or games consoles ▪ **Services** such as insurance or hairdressing are intangible, cannot be stored and are provided to customers when they are needed
Meet customer needs	▪ The ultimate goal is to create products that **meet the needs and preferences of customers** and provide value to them ▪ By meeting customer needs, businesses can **build customer loyalty**, increase brand awareness, and generate revenue
Add value	▪ The third purpose of business activity is to **add value** to products or services ▪ Value-added features can **differentiate** products from competitors, create a **unique selling proposition**, and increase customer satisfaction ▪ E.g. a product that is easier to use, has a better design, or is of higher quality than competitors can create a competitive advantage for a business

The factors of production

- **Factors of production** are the resources used to produce goods and services
  - They are **capital, enterprise, land** and **labour**

The four factors of production

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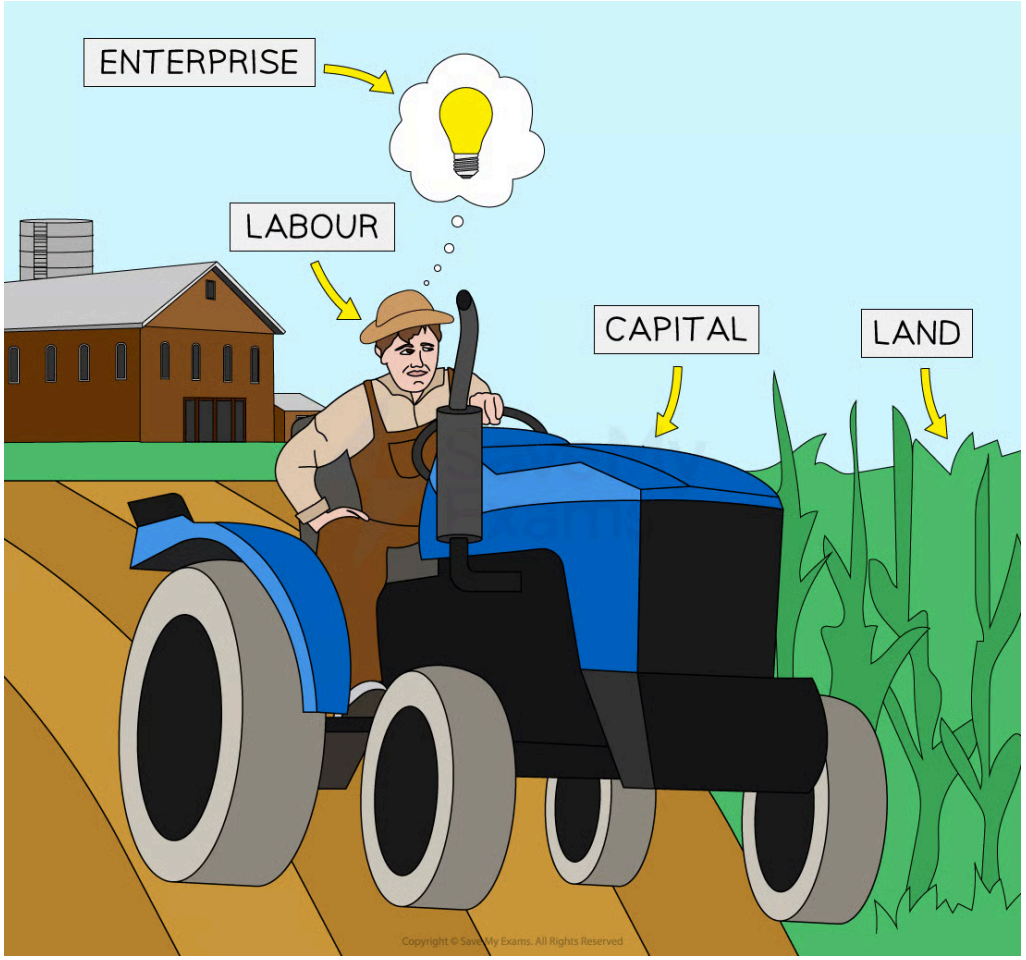

The four factors of production are capital, enterprise, land and labour

- The production of any good or service requires the use of **a combination of all four factors of production**
  - Goods are tangible objects, e.g. mobile phone
  - Services are intangible actions or activities that one person performs for another, e.g manicure, car wash

Explanation of the factors of production

Land	Capital
▪ **Non man-made natural resources** available for production ▪ Some countries have a vast amount of a particular natural resource & so are able to specialise in its production ▪ E.g. **Kuwait** specialises in the product of oil which accounts for	▪ Capital is any **man-made resource** that is used to produce goods or services ▪ Examples include tools, buildings, machines and computers

95% of its **exports**	
Labour	**Enterprise**

▪ The **human input** into the production process, labour involves mental or physical effort
▪ Not all labour is of the same quality
  ▪ It can be **skilled or unskilled**
  ▪ Some workers are more productive than others because of their education, training and experience
	▪ Enterprise involves **taking risks** in setting up or running a firm
	▪ An entrepreneur decides on the combination of the **factors of production** necessary to produce goods/services with the aim of generating profit

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The concept of adding value

- Adding value is the process of **taking raw materials and using them in such a way that the end product created is worth more than the cost** of the raw materials used to create it
- The added value is the **difference between the price that is charged to the customer and the cost of inputs** required to create the product or service
  - E.g. Customers will pay more for potatoes when they are packaged as oven chips than they would for a bag of potatoes
- The greater the added value, the more successful the business is likely to be and the higher their **profits**
  - If value is not added to the materials and components that a business buys, fixed costs cannot be covered and no profit will be made

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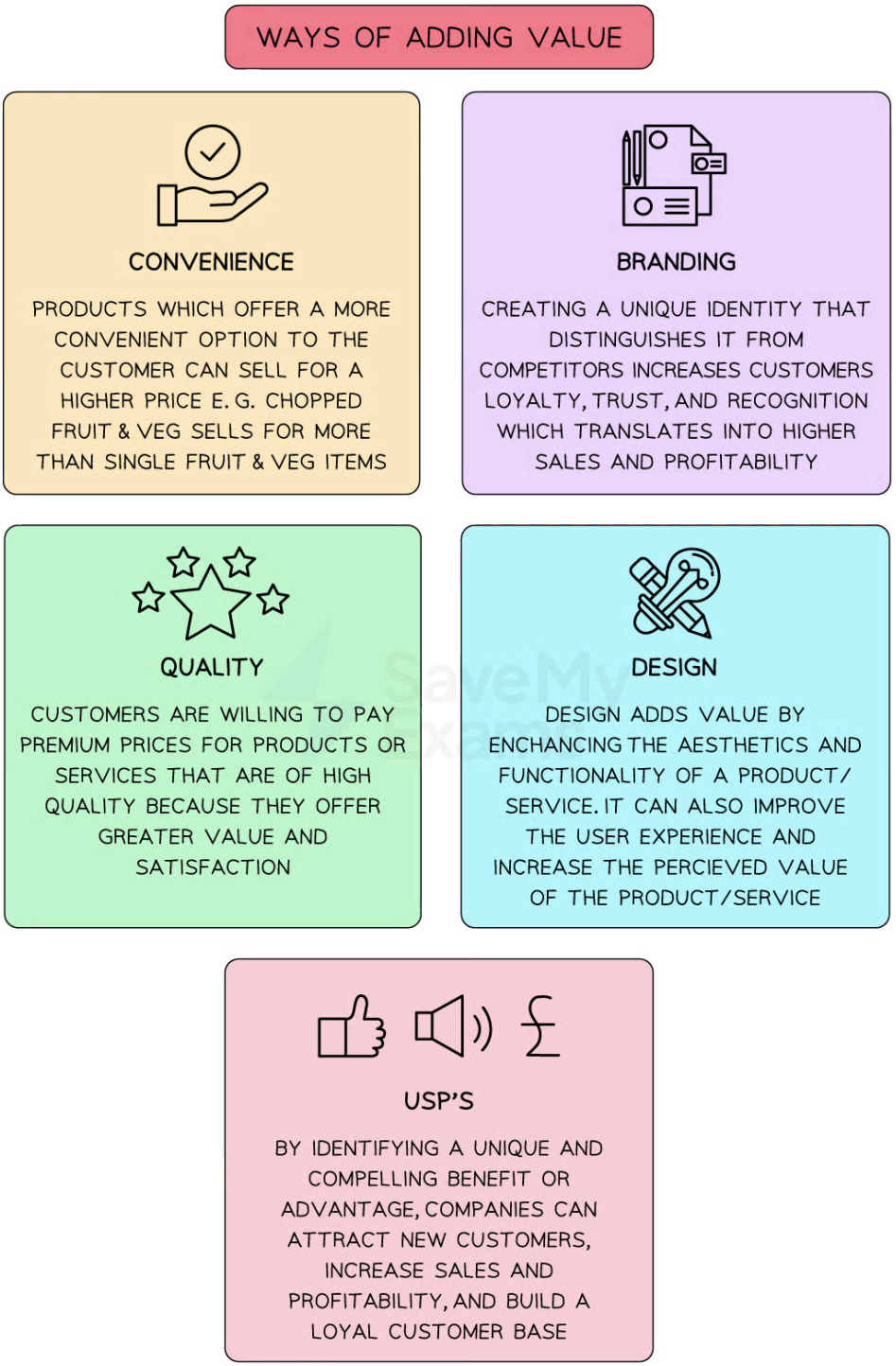

Some of the methods of adding value allow for product differentiation, which allows the business to charge a higher selling price

Examples of added value

Branding

- Apple has built a brand that many customers believe is **superior to other brands**

- They have achieved this through the use of quality materials, innovative design and good marketing
- This branding allows the firm to **charge a higher price** for its products, thus increasing the added value

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Convenience

- Persil initially provided a bottle of **dishwashing liquid** for dishwashing machine use
- This resulted in spillage as customers added the liquid to their machines, so Persil then created tablets
- The **tablets** offered a much more convenient option and Persil was able to charge a higher selling price for them

Quality

- **Chanel** perfume products are well known for their **beautiful packaging,** which creates an exciting opening experience for the customer
- This allows the firm to charge a higher price for its products, thus increasing the added value

Unique selling points (USPs)

- MoonPig birthday cards can be **completely customised** (size, colour, design etc.) and the level of customisation has helped them gain a competitive advantage
- This customisation allows the firm to charge a higher price for its cards, thus increasing the added value

Design

- **Samsung Galaxy Watch 5** has robust health tracking tools built into it, along with an amazing screen, which has helped it gain a competitive advantage
- These features allow the firm to **charge a higher price** for its products, thus increasing the added value

The nature of economic activity

- **Scarcity** means resources (e.g. money, time, land) are limited while our wants are unlimited
  - As a result, there is a **basic economic problem**
    - **Choices have to be made** by producers, consumers, workers and governments, about the most **efficient** use of resources
  - **Opportunity cost** is the next-best option given up when a choice is made
    - Every decision forces a **choice** and an **opportunity cost**
      - The **NHS** must allocate a fixed budget: spending £1 billion on new cancer drugs leaves less for mental-health nurses, so health leaders weigh which benefits patients more

- A farmer near Warsaw can lease land for a **solar farm** or keep growing wheat; high energy prices push many toward panels, cutting local grain supply
- A student with £50 can buy a gig ticket or new textbooks; whichever they skip is their opportunity cost

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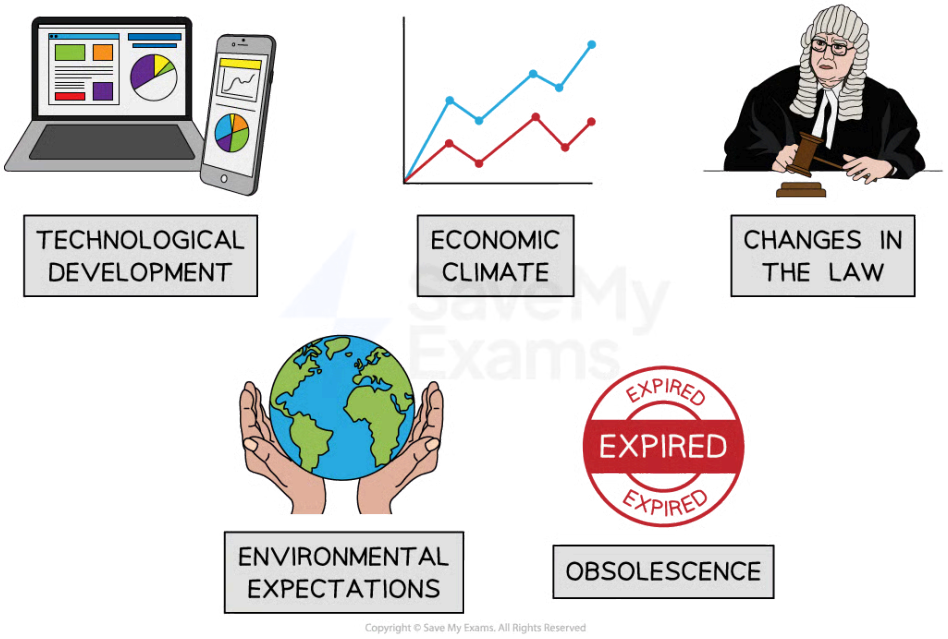
The dynamic business environment

- The **external environment** in which businesses operate is **constantly changing**
  - Changes in **technology, consumer needs**, **wants and expectations**, as well as the **economic** and **legal climate**, can all have an impact on **demand** for products and the way a business operates
- New business ideas emerge as **entrepreneurs recognise opportunities** created by changes in the market
  - Change can also mean that demand for the products a business sells falls
- Successful businesses can **identify opportunities**, **plan for changes** that could have a negative effect, and develop innovative solutions that **meet the changing needs of customers**

Aspects of the dynamic business environment



Demand and business operations are affected by technological developments, changes in the economy and legal framework, environmental expectations of consumers and obsolescence

1. Changes in technology

- Advances in technology can create new opportunities for businesses to develop **innovative** products and services
  - E.g. The emergence of smartphones and social media platforms **created new opportunities** for businesses t**o reach customers** through mobile apps and digital marketing

2. Changes in the environmental expectations of consumers

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- Consumer demand for **environmentally responsible products** has changed over time, with more and more people making green buying choices
- This has created opportunities for businesses to develop new products that are less damaging to the natural world
  - E.g. The growing demand for **plant-based food products** has led to the emergence of new businesses in the food industry, such as **Impossible Foods**

3. Products and services becoming obsolete

- Products and services can become **outdated** due to changes in technology or changes in consumer demand
- This can create opportunities for businesses to develop new products and services that meet the needs of consumers in **new** and **innovative ways**
  - E.g. The **decline of physical media like CDs and DVDs** created opportunities for businesses like Netflix and Spotify to develop digital streaming services

4. Changes in the economic situation

- Factors such as changing **interest rates**, **inflation**, the level of **unemployment** and **economic growth** (or contraction) can affect demand for a businesses products
  - E.g. a business selling products that consumers normally purchase using **credit,** such as electrical **consumer durables**, is likely to face a fall in demand when interest rates rise

5. Changes in law

- The introduction or amendment of laws and regulations can change **consumer behaviour** and require businesses to **make changes to their operations**
  - E.g. the introduction of legislation banning **smoking in indoor spaces** in 2007 meant that many **hospitality** businesses in the UK invested in outdoor spaces to accommodate smokers

Why do businesses succeed or fail?

Business success

- There is no single 'recipe for business success'
- Those that thrive usually share some **common characteristics**

Reasons why some businesses succeed

Characteristic	Explanation	Example

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Understanding their customers	▪ Successful businesses study what people need and like, then shape their products and prices to match	▪ **Greggs** (UK) listened to customers asking for meat-free food and launched the vegan sausage roll ▪ Sales jumped and many new shoppers tried the bakery
Being adaptable	▪ When tastes or technology change, successful businesses adapt quickly instead of holding on to old ideas	▪ **Netflix** (USA) moved from posting DVDs to streaming films online, then to making its own shows ▪ Adapting early kept it ahead of rivals
Being financially stable	▪ Successful businesses maintain good cash reserves and low debt, so it can survive shocks and still invest	▪ **Toyota** (Japan) ensures it has large amounts of cash ▪ During the 2008 financial crisis it could keep factories running and fund new hybrid-car projects while weaker carmakers cut back
Managing operations effectively	▪ Production, stock and delivery are organised so customers get the right product on time	▪ **Zara** (Spain) uses fast, computer-controlled factories and ships new fashion designs to stores twice a week ▪ This means shoppers always see fresh styles, and the company sells more at full price.

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Business failure

- Business failure is a risk to **both new and established businesses**
  - In 2021, an average of 8% of businesses in EU countries failed
    - The highest failure rate was in **Estonia**, where almost one in four businesses failed
    - The lowest failure rate was in **Greece**, where just over 2% of businesses failed
- **New businesses are often more at risk of failure** than well-established businesses
  - This is often due to **lack of management skills, limited experience** or **cashflow problems** during the initial start-up phase
  - The **volume and variety of tasks** required of new business owners can be **overwhelming**
  - **Market research** is unlikely to be detailed, as small business owners may lack the skills to understand findings and make effective decisions

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Reasons why some businesses fail

Financial Factors	Poor Management
▪ A business may be **unable to generate enough revenue** to sustain its operations ▪ **Costs may rise** sharply and eliminate **profit margins** ▪ **Cash shortages** mean that **creditors** cannot be paid what they are owed ▪ **Limited access to finance,** such as loans or **trade credit,** can be particularly problematic for start-ups	▪ **Lack of experience** can lead to poor decisions related to product range, pricing or promotional activity ▪ Making decisions based on **hunches** rather than market research ▪ **Ineffective record keeping, coordination** and **planning** of business operations, such as stock purchasing or staffing, can increase costs
External Factors	**Overtrading**
▪ Ineffective or **delayed response** to new technology, powerful new competitors and major economic change ▪ Changes in **laws** or **taxation** can increase pressure on businesses to make difficult choices	▪ This occurs when a **business expands too quickly** ▪ **Poor coordination and planning** of growth can lead to **diseconomies of scale**, which increases costs

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Local businesses

- Local businesses operate in a **specific and limited location,** such as a town, city zone or within a tourist attraction
- Their owners usually focus on providing a **service to the surrounding community** and tend to **remain small**

Examples of local businesses

Single branch restaurants

Market Stalls

Gardening Services

Local businesses provide a service to customers within a limited geographical area

National businesses

- National businesses operate outlets or provide services in **numerous locations across the country**
- Their focus is on meeting the needs of **customers of a particular nationality**
- They usually aim to increase **market share** and achieve **economies of scale**
- Examples of national businesses include:
  - **Bricoman** in France is a national retailer of DIY and building supplies
  - **Spoon** in Costa Rica is a national chain of fast food restaurants
  - **Amasvin** is a popular bubble tea brand with more than 80 stores across South Korea

International businesses

- International businesses operate outlets or provide services in **more than one country**
- They tend to operate in countries that **share characteristics of their home country,** such as
  - Similar customer needs and wants

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- Common business procedures or regulations
- The same language
- Examples of international businesses include
  - Fashion retailer **Zara**
  - Holiday company **Eurocamp**
  - Publisher **Time Out**

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Multinational businesses

- **A multinational company (MNC)** is a business that is registered in one country but has manufacturing operations/outlets in different countries
  - E.g. Starbucks headquarters are in Washington, USA but they have 32,000 stores in 80 countries
- Factors such as **globalisation** and **deregulation** have contributed to the growth of MNC's
- MNC's choose locations based on factors such as **cost advantages** and access to markets
  - Nike originates from the USA, but 50% of their manufacturing takes place in China, Vietnam and Indonesia due to the **lower production costs** in these countries
- The impact of multinationals are considered in more detail later in the course

Examiner Tips and Tricks

The scale of a business can be an important factor in determining its objectives.

Local businesses are likely to want to remain relatively small, with the objective of providing a good service, while international businesses may be looking to grow and operate in more countries to become multinationals and maximise profit.

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The role of entrepreneurs

- **An entrepreneur** is a person who is **willing and able to create a new business idea** or invention and **takes risks** in pursuing success
  - Successful entrepreneurs can identify and pursue opportunities, **create value for customers** and build thriving businesses
- These individuals bring a unique **entrepreneurial spirit** into the business, which helps drive it forward and expand
  - **Howard Schultz** was hired by Starbucks in 1982 as Director of Retail Operations and Marketing. He later left to start his own coffee company, but **returned to Starbucks** in 1987 as CEO. Under his leadership, **Starbucks expanded globally** and became one of the most recognised brands in the world
  - **Marissa Mayer** was brought in to lead Yahoo! in 2012 as CEO. She implemented several initiatives to revitalise the struggling company, including **acquisitions**, product improvements, and a renewed **focus on mobile**
- Entrepreneurs fulfil **important roles** in business
  - Organising resources, including finance, facilities, people and equipment
  - Making decisions, both at the start and throughout the life of a business
  - Taking risks to maximise returns and maintain a **competitive advantage**

What do entrepreneurs do?

They organise resources	They make business decisions	They take risks

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▪ Gather and **coordinate the resources** necessary to start and operate a business
  ▪ E.g. Michael Dell started his computer company in his garage, **organising resources** such as space, computers, software tools and employees
	▪ Make initial decisions that determine the **success or failure of a business**
	  ▪ E.g. A restaurant owner decides the type of food to serve, restaurant location, and **what prices to charge**
	▪ Making the wrong decisions can lead to wasted resources, lost opportunities, and **ultimately business failure**
		▪ Take financial, personal, professional or conceptual risks
		  ▪ E.g. An entrepreneur may invest life savings or **quit a secure job** to start their own business
		▪ These risks can pay off with great rewards, but they can also lead to failure and financial loss

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The role of intrapreneurs

- An **intrapreneur** is an individual tasked with creating or improving **innovative products or processes** within an **already-established business**
  - **Intrapreneurship** involves empowering employees to **think and act like entrepreneurs**
  - The business encourages them to **take risks, innovate, and develop new ideas** and projects that may benefit the business
    - Businesses can **tap into the creative potential** of their employees and generate new products/services or processes that can drive growth and **competitive advantage**
    - This helps to create a **culture** that generates a sense of ownership and engagement among employees, which **increases motivation** and helps to retain top talent
    - To promote intrapreneurship, businesses may provide resources to employees or offer **incentives/rewards** for successful projects

Examples of intrapreneurship in business

Example	Explanation

Sony playstation	▪ In the early 1990s, a group of **engineers at Sony proposed the idea of creating a video game** console to compete with Nintendo and Sega ▪ The proposal was initially rejected by senior management. The engineers persisted and **a senior executive** supported them ▪ **Sony PlayStation** was launched in 1994 and quickly became one of the most popular gaming consoles of all time
3M	▪ **3M's "15% rule"** is a policy that allows employees to spend up to 15% of their work time pursuing projects outside of their normal job ▪ **Post-It Notes** were developed by two employees, Spencer Silver and Art Fry ▪ Post-It Notes were initially marketed as a solution for bookmarking pages in books, but they quickly became popular for all sorts of purposes ▪ Today they generate **billions of dollars** in annual revenue for 3M

- Intrapreneurs fulfil **important roles** in business that compliment those of the entrepreneur:
  - Innovation, including using resources in the most effective way, developing new ideas and processes and identifying new techniques
  - Organising operations by making day-to-day decisions that drive a business forward
  - Persuade business owners to take calculated risks and follow new paths

What do intrapreneurs do?

They innovate	They organise operations	They persuade
▪ Find the best uses of existing resources, identify new ideas and techniques and implement innovative processes ▪ E.g. An intrapreneur may identify ways to **reduce waste** in the production process	▪ Make ongoing decisions to ensure the business achieves its objectives ▪ E.g. An intrapreneur may promote workers in whom they see potential or **restructure** teams to improve efficiency	▪ Convince business owners to develop and introduce **new products** enter **new markets** and implement **new ways of working** ▪ E.g. An intrapreneur may persuade a business owner to launch a new product in a new market

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Qualities of entrepreneurs and intrapreneurs

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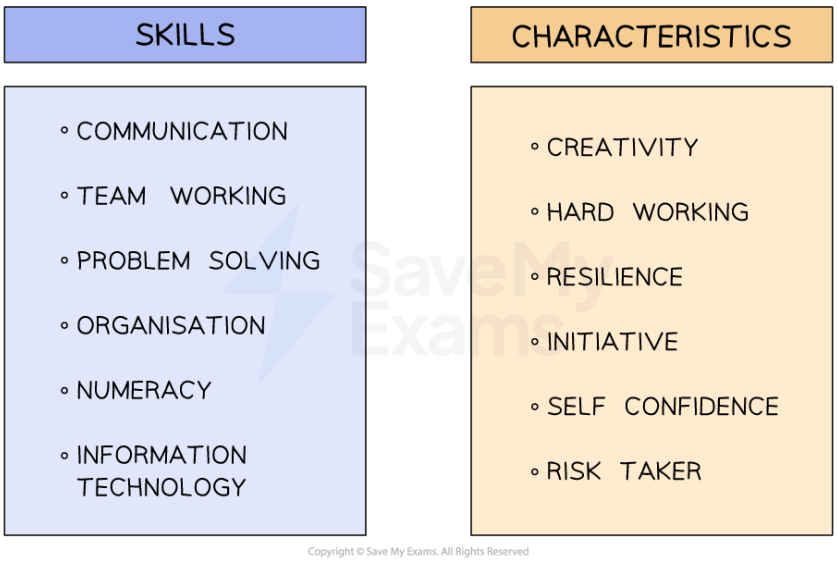
- Entrepreneurs and Intrapreneurs require a **unique set of characteristics and skills**



- Successful entrepreneurs and intrapreneurs tend to be very **persuasive in their communication** and **decisive in their decision-making**
  - Convincing lenders, investors and customers to support their business is central to achieving financial success
- Developing **new solutions to solve existing or emerging problems** is a key intrapreneurial role that helps a business stand out from rivals and achieve success
  - During the 2020 COVID-19 pandemic, many businesses used their creativity to switch production techniques to cater for what the market wanted
  - E.g Harrogate Gin switched from producing gin to hand sanitiser
- Starting a business is often the sole responsibility of a single entrepreneur, who will need to be able to **solve problems with limited support**
  - E.g. The owner of Gymshark, Ben Francis, started off the company by buying a sewing machine and making gym clothes in his parents garage with a few school friends
    - This led to the growth of a multi million pound company employing hundreds of people

Barriers to entrepreneurship

- Making the decision to set up and run a business is rarely easy
- Entrepreneurs face a series of **barriers** that they must overcome if they are to make a success of an enterprise

Barriers to entrepreneurship

Barrier	Explanation
Lack of finance	▪ Entrepreneurs may **not be able to afford to invest their own money** into a business ▪ Lenders may be **reluctant to approve loans** due to the lack of a trading record or an unconvincing business plan ▪ They may also be **unaware of grants or other available financial support** for new businesses
Lack of customers	▪ There is no guarantee that an **unknown** new business will **appeal to customers** ▪ Failure to attract customers to buy its products means that a business is **unlikely to survive**
Finding a suitable location	▪ The best locations are often **too expensive** for new businesses ▪ Many entrepreneurs run their businesses from their own home initially to minimise **operating costs**
Lack of opportunities	▪ Entrepreneurs need to have a **good idea** that has the potential to **generate a profit** ▪ They also need **time, experience and sufficient evidence** to support their decision to take the risk in pursuing it
Existing competition	▪ Well-known **businesses that offer a similar product or service** may already exist ▪ Competitors are likely to have **greater market knowledge** and an **existing customer base** as well as the **financial resources to invest in promotional activity**

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Examiner Tips and Tricks

A good way to explain the difference between entrepreneurs and intrapreneurs is to consider them in the context of risks and rewards.

Entrepreneurs risk their own money, reputation, time, and resources but get to keep financial rewards for themselves, should they wish. Intrapreneurs take risks on behalf of a business, and the business for which they work receives the rewards.

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The distinction between risk and uncertainty

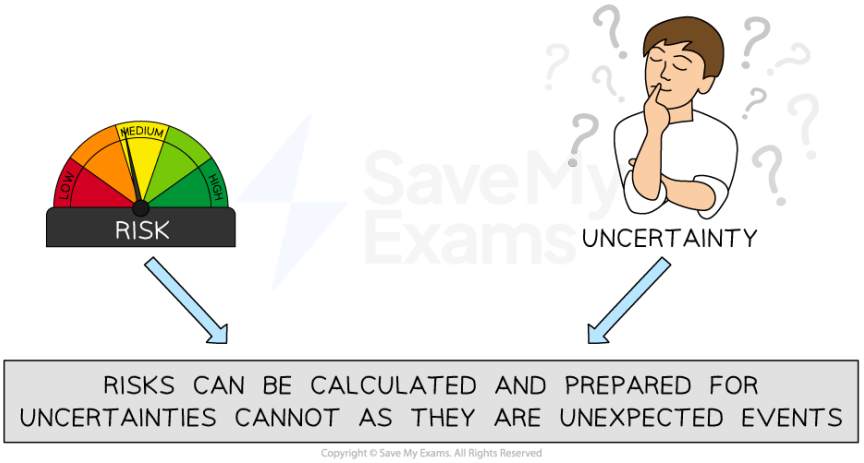
Uncertainty

- Business uncertainty is when a business **cannot predict what is going to happen** or directly influence it
  - Uncertainty **cannot be prepared for** because it is unknown and cannot be measured
  - Factors that typically cause uncertainty include:
    - **Environmental factors** such as the Japanese Tsunami in March 2011
    - **Economic changes** such as Covid lockdowns, Brexit or collapses in the banking system
    - The entry of new competitors
    - Changes in local and national **legislation (laws)**
    - Changes in the **political party** governing the country

Risk

- Risk can be **measured**, allowing business owners to make informed decisions before taking action
  - Research, market insight and creating a **business plan** can help to reduce risk
  - E.g. Awareness of increased demand for music on vinyl, extensive market research and a strong business plan convinced entrepreneurs Joel Magill and Will Greenham to set up **Smugglers Records** in the small seaside town of Deal

Risk versus uncertainty



The difference between risk and uncertainty

- Entrepreneurs have varying **levels of risk** they are willing to accept
  - **Risk-averse** entrepreneurs may prefer to start small and achieve slow growth
  - Some entrepreneurs may prefer to **share risks** with others in a **partnership** or protect their personal assets by forming a **private limited company**
- Successful entrepreneurs can **manage risk and quickly respond to uncertainty** in the business environment

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An example of entrepreneurial response to uncertainty

Brian Chesky (Airbnb Co-founder) **Airbnb Response to the Covid-19 Pandemic**
▪ In 2020, the COVID-19 pandemic caused many people to **cancel their travel plans** and stay home to avoid exposure to the virus ▪ This had a major impact on Airbnb's business ▪ Rather than wait for the pandemic to pass, Chesky quickly **pivoted their business strategy** to meet the changing needs of their customers ▪ They launched a new service called **"Online Experiences,"** which allowed people to participate in virtual tours, cooking classes and other experiences **from the comfort of their own homes** ▪ Airbnb also took steps to address the health and safety concerns of its customers by **implementing enhanced cleaning protocols** and providing hosts with a guide on how to **prepare their homes for guests** during the pandemic ▪ By quickly pivoting his business strategy and addressing the concerns of his customers, he was able to drive his business forward and **position Airbnb for continued success** in the future

Business enterprise and the development of a country

- Government policy often includes support to entrepreneurs to encourage them to set up new businesses or take steps to grow their business
  - The **Philippine** government recognises the contribution that small businesses make to its economy and offers a range of **incentives** to entrepreneurs, including
    - **Training programmes** to equip business owners with the skills they need to operate an enterprise
    - A streamlined application process for **low cost government-supported loans**
    - **Mentor initiatives** where entrepreneurs are partnered with an expert who can provide advice on training and business development services

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- The Go Loka! project, which provides product development training, access to a **marketing platform and promotional events**
- **Exemptions** from income tax and minimum wage law for a limited period

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How small businesses contribute to a country's economic development

Increase the country's level of output to achieve economic growth	Improve choice and service for consumers
▪ This results in higher living standards and raises tax revenues for governments to spend on improved **public services** ▪ E.g. The Ugandan government has remodeled its education system to include entrepreneurship as a core subject in secondary schools and has established innovation hubs to help entrepreneurs launch successful startups	▪ Competition for existing businesses can lead to greater **innovation** and better customer service ▪ E.g., **Robinhood** offers a commission-free share trading platform that makes investing accessible and affordable for a broader range of individuals and has challenged traditional financial institutions in a market that had changed little in many decades
Reduce the level of unemployment	**Social enterprises often support disadvantaged groups**
▪ New or growing businesses create jobs and increase labour skills ▪ This is particularly important for African youth (15–24 years) who constitute around 37% of the working age population but account for about 60% of the continent's jobless total	▪ E.g. During the Covid-19 pandemic **Fuzzlab** provided its chatbot free of charge to UK social housing organisations ▪ This meant tenants could continue to access 24/7 support for any housing-related enquiry at a time when customer service staff were unable to carry out their work

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The meaning and purpose of business plans

- A business plan sets out **key aspects of a business** and **how the owners intend it to develop**
- The main aim of producing a business plan is to **reduce the risk** associated with starting a new business and help the owners **raise finance**
  - Producing a business plan forces the owner to think about every aspect of the business **before they start,** which should **reduce the risk** of failure
  - Having carried out research to support the plan, the business will be **well-informed about the potential problems and chance of success**
  - They can use it to select the most appropriate **source of finance** based on this information
- A well-written business plan can **help a business obtain finance**
  - Lenders (e.g. banks) and other investors will be able to explore the plan and **make an informed decision** about whether the business is credible and worth the financial risk
  - Investors (e.g., venture **capitalists**) will use the business plan to explore whether there is an opportunity to **increase the value of their investment** and make a worthwhile profit

The key elements of business plans

- A business plan should be a **regularly-updated working document**
  - As the business grows plans are likely to change as it faces new threats and opportunities

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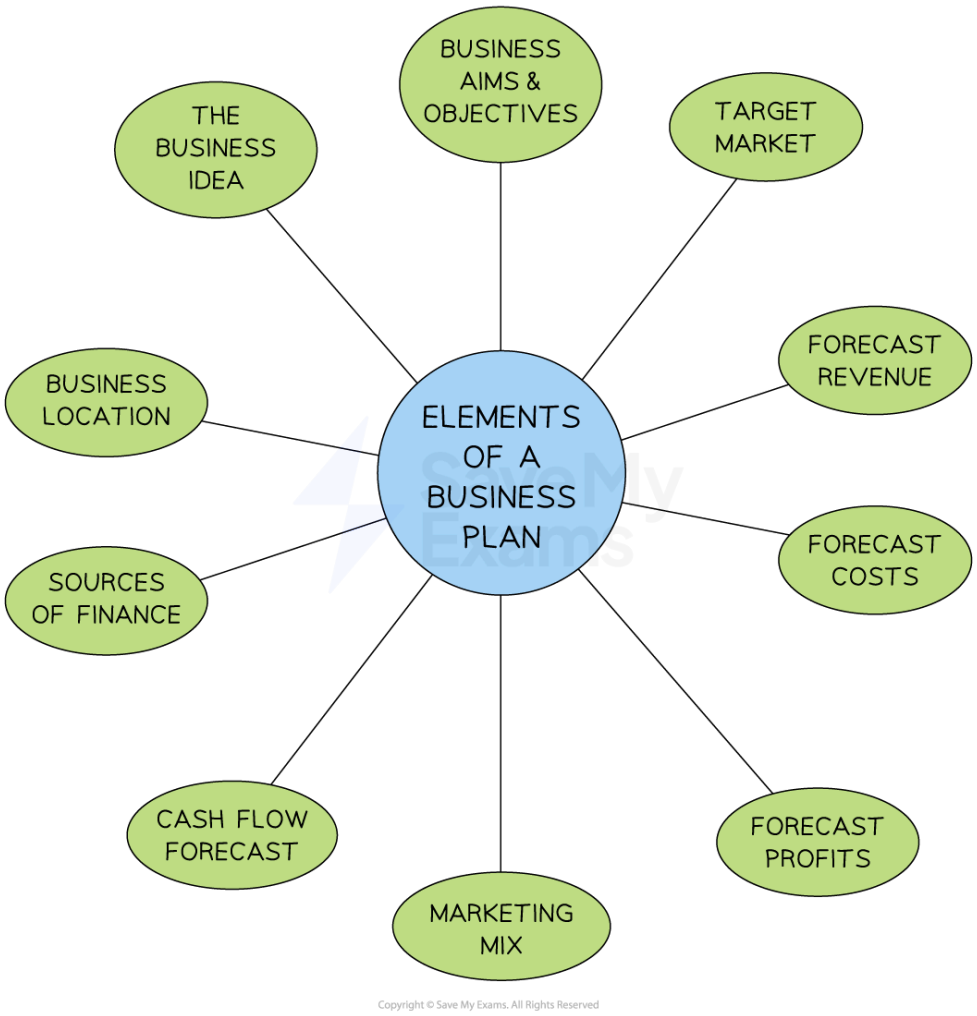

Business plans commonly detail forecast costs and revenues, sources of finance and marketing plans

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Explanation of the business plan

Executive summary

- This section provides an **overview of the business idea**, its unique selling proposition, target market, and financial projections
  - It should be **concise** yet compelling enough to grab the reader's attention

Company description

- A description of the business mission, vision, and values
  Information about the **legal structure**, location and any unique advantages or intellectual property the business may have

Market analysis

- A thorough analysis of the target market, including its size, growth potential and key trends

- Identification of **target customers** and their needs
- A **competitor analysis** to understand their strengths and weaknesses

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Products or services

- A detailed explanation of the **products/services the business will offer**, highlighting their features, benefits and any competitive advantages they may have

Marketing and sales strategy

- A description of the intended marketing and sales approach, including marketing channels, **pricing strategy** and promotional tactics
- A description of how customers will be attracted and their loyalty captured

Organisation and management

- An overview of the **organisational structure** of the business and the key members of the team, including their qualifications, experience and responsibilities

Operations and implementation

- A description of how the business will operate on a day-to-day basis, including the **production process**, stock management and any key partnerships or suppliers

Financial projections

- A detailed **financial forecast** for the business, including cash flow forecasts
- An outline of funding requirements and any existing or potential sources of finance

Risk analysis

- A consideration of the **potential risks and challenges** the business may face and the intended strategies for mitigating them

The benefits and limitations of business plans

- While business planning has numerous benefits, it should be weighed against a range of drawbacks
  - A business plan is **only as good as the research behind it** and the individuals who produced it

Advantages and disadvantages of business plans

Advantages	Disadvantages
▪ A business plan helps owners and managers set aims and objectives ▪ Owners of business can use the plan to review ideas and see if they have the potential to make a profit	▪ Uncertainty of what will happen in the future makes it hard to predict sales, costs and cash flows ▪ New business owners may lack the experience to write effective business plans, limiting their usefulness

▪ Success can be measured by comparing actual outcomes to the plan, and changes can be made if necessary ▪ Plans can support applications for finance, such as bank loans	▪ They take time and effort to put together, which may be difficult for small businesses to afford ▪ Opportunities can be missed if they are not in the business plan

Your notes